



Every time the stock went up Ganesh would increase his limit. Was he playing games? No. He is a serious investor. He strongly believes that Tata Steel is a great company. He is proud of his holdings and he firmly believes that the market is undervaluing his stock.

The Trial and Money Back Guarantee Scheme

Raju: *“Mom, see what I’ve got, the latest stereo system. It will fit perfectly in our drawing room. Wait till I play it. You will love the sound.”*

Mom: *“Raju, where did you get the money for such an expensive stereo?”*

Raju: *“It’s on a 15-day trial basis. The shop round the corner allows you to use the goods before you buy. Since college is closed for two weeks I thought I’d listen to some music at home.”*

Mom: *“Are you sure they will take it back without any fuss?”*

Raju: *“Of course mom, don’t worry. Here is the card. It says that they will take it back, no questions asked, if returned within the 15-day trial period.”*

Mom: *“That’s great. Handle it carefully. They may not take it back if it is misused.”*

Raju: *“Don’t worry, I will be careful.”*

After 14 days.

Mom: *“Raju, don’t forget the trial period ends tomorrow. We have to return it, though we will miss it.”*

Raju: *“Mom, can we keep it and make the payment. A good system makes a difference. Moreover it fits in with our décor like it was specially made for us.”*

Mom: *“Yes, you are right. Let’s keep the stereo. We will make the payment.”*

Notice how taking a product on trial got Raju and his mother to buy it. The shop owner understands the endowment effect very well. He knows that once the stereo becomes a part of their